

BANKING & FINANCE

(145)

NATIONAL – 2019

Multiple Choice:

Multiple Choice (30 @ 2 points each) _____ (60 points)

Matching:

Matching (10 @ 2 points each) _____ (20 points)

Production:

Problem 1: Compound Interest _____ (24 points)

Problem 2: Reconciliation _____ (23 points)

TOTAL POINTS _____ (127 points)

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests or facsimile (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

No more than ten (10) minutes orientation
No more than sixty (60) minutes testing time
No more than ten (10) minutes wrap-up

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1. A person would choose Form 1040 in order to _____ since you can't use an EZ form to do so.
 - a. itemize deductions
 - b. report interest earned
 - c. claim exemptions
 - d. claim the standard deduction
2. Expenses the law allows a taxpayer to *subtract* from adjusted gross income are called _____.
 - a. exemptions
 - b. allowances
 - c. itemized deductions
 - d. tax credits
3. Which of the following is *not* taxable?
 - a. interest income
 - b. unemployment income
 - c. Social Security income
 - d. child support income
4. Preferred stock _____.
 - a. carries more risk than common stock
 - b. carries less risk than common stock
 - c. pays dividends after common stock
 - d. is less expensive than common stock
5. Municipal bonds are _____.
 - a. tax deferred
 - b. tax exempt
 - c. convertible
 - d. not rated
6. Annual interest divided by current market value of a bond is the _____.
 - a. current yield
 - b. yield to maturity
 - c. P/E ratio
 - d. bond rating
7. A bond that is *not* registered by the issuing company is called a _____.
 - a. bearer bond
 - b. debenture
 - c. callable bond
 - d. mortgage bond

8. A type of mutual fund that holds stocks or bonds that react the same as the stock or bond markets as a whole is called a(n) _____.
 - a. growth fund
 - b. global fund
 - c. index fund
 - d. balanced fund
9. Subtracting payments made before computing the charge describes the _____.
 - a. previous balance method
 - b. average daily balance method
 - c. adjusted balance method
 - d. annual percentage rate method
10. The *most expensive* way to figure the finance charge for the credit user is the _____.
 - a. previous balance method
 - b. average daily balance method
 - c. adjusted balance method
 - d. annual percentage rate method
11. Which type of bankruptcy is *commonly* called a straight bankruptcy proceeding?
 - a. Chapter 7
 - b. Chapter 13
 - c. voluntary
 - d. involuntary
12. Which types of insurance build a cash value over time?
 - a. term
 - b. credit life
 - c. mortgage
 - d. straight life
13. The process by which loan payments are applied to the principal, or amount borrowed, as well as to the interest on a loan according to a set schedule is called _____.
 - a. fixed rate interest
 - b. adjustable rate interest
 - c. amortization
 - d. graduated payment
14. Which of these investments is *not* subject to income taxes?
 - a. corporate bonds
 - b. stocks
 - c. mutual funds
 - d. municipal bonds
15. The Act of Congress that removed the 'float' time for checks is the _____.
 - a. Sarbanes-Oxley Act of 2002
 - b. Check 21 Act of 2003
 - c. Expedited Fund Availability Act of 1987
 - d. Homeland Security Act of 2002

16. The more allowances claimed on a W-4 statement, the
- less money received in a paycheck.
 - more money received in a paycheck.
 - more taxes withheld for social security.
 - larger your tax refund.
17. All the following are examples of depository intermediaries *except* _____.
- banks
 - savings and loan associations
 - credit unions
 - insurance companies
18. The overall rise in the price of goods and services is known as _____.
- forbearance
 - deferment
 - inflation
 - risk
19. Last year, Mr. Jobman gave a portion of his wages to a local charity and was *not* required to pay taxes on the amount of his donation. This is an example of a(n) _____.
- investment disbursement
 - estate allocation
 - tax-deferred investment
 - tax deduction
20. An important purpose of full-disclosure laws and regulations is to _____.
- provide information to investors so they can make informed decisions
 - allow company employees to use inside information for personal gain
 - require companies to disclose all information about their operations
 - prevent a stock's par value from dropping below its market value
21. The federal tax that is deducted from an employee's paycheck each pay period and provides for retirement, disability, and survivor benefits is
- federal income tax.
 - Medicare tax.
 - Social Security tax.
 - worker's compensation tax.
22. A type of stock that is based on the ups and downs of the economy is called
- blue chip stock.
 - cyclical stock.
 - growth stock.
 - income stock.
23. When purchasing a home, if you put 20% or more down, you can avoid paying
- private mortgage insurance.
 - umbrella insurance.
 - risk-free insurance.
 - liability insurance.

24. The _____ guarantees deposits against bank failures up to \$250,000 per depositor, per bank account.
- Federal Open Market Committee (FOMC)
 - Federal Deposit Insurance Corporation (FDIC)
 - Federal Reserve System Open Market Account (SOMA)
 - Federal Banking System (FBS)
25. The treasury security that is available in denominations of \$100 and that matures in one year or less is the Treasury _____.
- note
 - bond
 - bill
 - stock
26. The interest or money that is charged a borrower for the use of credit is the _____.
- finance charge
 - collateral
 - proration
 - principal
27. A law that allows people who leave employment to continue their health insurance under the company plan for a limited period of time is known as _____.
- PPO
 - COBRA
 - HMO
 - HAS
28. A defined-contribution plan for employees of schools, non-profit organizations, and government units is known as a _____.
- 401(k) Plan
 - IRA
 - 403(b) Plan
 - 301(k) Plan
29. Income from an investment usually bought from a life insurance company, paid in a series of regular payments made for a set number of years, is referred to as a(n) _____.
- policy
 - future
 - annuity
 - option
30. If Alexis borrowed \$10,000 to buy a new car, and she repaid the loan over 24 months, the monthly payment, including interest, is \$450. If she pays the loan over 48 months, the monthly payment, including interest, is \$245. What is the difference in the price of the car between the two payment options?
- \$960
 - \$690
 - \$450
 - \$245

MATCHING (10 @ 2 points = 20 points)

Write the letter of the term on the line beside its correct definition.

- _____ 1. Free of tax considerations
- _____ 2. Investment instruments such as stocks and bonds
- _____ 3. Where individuals “pool” investment money
- _____ 4. Ownership interest in a company
- _____ 5. Can easily be converted into cash
- _____ 6. Spreading investment money among different instruments
- _____ 7. Legal document describing an investment offered for sale
- _____ 8. Amount gained or lost from an investment
- _____ 9. An increase in the basic value of an investment
- _____ 10. Certificate representing a loan

- A. Diversification
- B. Dividend
- C. Liquid
- D. Stock
- E. Prospectus
- F. The return
- G. Securities
- H. Tax-exempt
- I. Bond
- J. Appreciation
- K. Mutual Fund
- L. No-fund

PRODUCTION

JOB 1: Compound Interest (24 points)

Amy Schwarz plans to deposit \$100 a month into her savings account. Her bank compounds monthly. The current rate for a regular savings account is $5\frac{1}{2}\%$. Using the chart below, compute the ending balance in her account after one year. Make sure to fill in every box. Round balances to the nearest cent.

Month	Beginning Balance	Deposit	Interest	Ending Balance
1	\$0	\$100		
2		\$100		
3		\$100		
4		\$100		
5		\$100		
6		\$100		
7		\$100		
8		\$100		
9		\$100		
10		\$100		
11		\$100		
12		\$100		

Problem 2: Bank Reconciliation (23 points)

On April 30, 2019, Adam Stanford, who owns a mobile food truck, received a bank statement that showed his balance to be \$12,525. The balance in his checkbook on the next check stub is \$14,300. The difference between the two balances is caused by the following items. Prepare the bank reconciliation below for Adam as of April 30, 2019.

- ✓ Check #254 written for \$275 on April 14 and check #258 written for \$1,150 on April 18 have not yet cleared the bank
- ✓ A \$3,200 deposit made on April 15 and a deposit for \$750 made on April 28 do not appear on the bank statement
- ✓ A debit memo shows a NSF check for \$450
- ✓ A service charge of \$15 appears on the bank statement
- ✓ A credit memorandum shows that the bank has collected \$1,215 for Adam

RECONCILIATION OF BANK STATEMENT				(Date) _____	
Balance On Check Stub No. _____		\$			
DEDUCT BANK CHARGES:					
Description	Amount				
	\$				
Total bank charges ▶					
Adjusted Check Stub Balance		\$			
Balance On Bank Statement		\$			
ADD OUTSTANDING DEPOSITS:					
Date	Amount				
	\$				
Total outstanding deposits ▶					
SUBTOTAL		\$			
DEDUCT OUTSTANDING CHECKS:					
Ck. No.	Amount		Ck. No.	Amount	
Total outstanding checks ▶					
Adjusted Bank Balance		\$			